MID-YEAR AMENDMENT · LETTER TEMPLATE

Five Clauses Govern Mid-Year Amendments. *Most Plan Sponsors Never Invoke Them.*

Three steps. One amendment letter. Ninety-day notice window.

This handout pairs with the Thursday LinkedIn post decoding the five contract clauses that govern mid-year amendments (amendment trigger language, notice period, materiality threshold, fee adjustment authority, dispute resolution). Use it when H1 review surfaces a finding that meets the amendment trigger conditions. Most amendments cost the PBM nothing to decline; the documented response is itself the renewal-leverage record.

01 Identify amendment-eligible findings from H1 review

Open your H1 review or most recent quarterly report. Pull every gap, miss, or anomaly. Then open your contract's amendment trigger clause. Match each finding to a trigger condition (performance guarantee miss, regulatory change, formulary change, materiality threshold).

02 Calculate the notice deadline and materiality threshold

Find the notice period clause. 30, 60, or 90 days written notice is typical. Find the materiality threshold (usually a 5% or greater impact on aggregate contract economics).

Calculate the deadline working backward from the desired effective date. Mid-June for Q4 effective. Late September for Q1 next year.

03 Draft the amendment letter using the decoded vocabulary

The amendment letter should reference: the specific contract clause being amended, the trigger condition being invoked, the proposed new language, the notice period being initiated, and the dispute resolution clause that applies if the PBM declines.

Send through your broker. Document the PBM's response in writing.

04 The Pattern PBS Sees Most Often

Across approximately 100 PBM contract reviews and audits annually at PBS: the amendment window is rarely used by plan sponsors. Most plans wait until renewal and absorb the H1 finding for two more quarters. The amendment window costs nothing to invoke and forces the PBM into a documented response — which is itself the most valuable record you can bring to renewal six months later.

05 Paste-Ready: Send to Your Broker or PBM

AMENDMENT LETTER · TO PBM (VIA BROKER)

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[Date]
[PBM Account Executive Name]

Re: Notice of Proposed Mid-Term Contract Amendment under § [insert
    amendment trigger clause number]

Pursuant to § [trigger clause] of the Pharmacy Benefits Management
Services Agreement effective [date], Plan Sponsor hereby provides
formal written notice of a proposed amendment.

Trigger condition invoked: [name the H1 finding — e.g., GER guarantee
miss of [X%] over Q1-Q2; performance remediation language at § [Y]
applies].

Proposed amendment: [name the specific clause language being changed,
or the new clause being added].

Notice period: [30 / 60 / 90] days. Effective date: [date], pursuant
to § [notice clause].

If PBM declines this amendment, dispute resolution under § [dispute
resolution clause] applies, and Plan Sponsor reserves the right to
invoke arbitration consistent with that clause.

Response requested within [10] business days.

Sincerely,
[Plan Sponsor Authorized Representative]
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06 This Quarter's Action Plan

STEP 1 · THIS WEEK

Pull H1 findings + amendment clauses

Match findings to trigger conditions. Document the eligible amendments with date and dollar magnitude.

STEP 2 · WEEK 2

Calculate the notice deadline

Working backward from the desired effective date. Mid-June for Q4. Late September for Q1 next year.

STEP 3 · WEEK 3

Draft and send the amendment letter through broker

Use the template above. Customize for the specific finding and clause.

STEP 4 · WEEK 4-6

Document the PBM response

Whatever the response, file it. The documented exchange is the renewal-leverage asset.